Board review · 14 October 2026

Q3 FY26: ahead on revenue, one call to make.

Prepared for the Northwind Analytics board of directors.

Revenue ahead of plan; payback is slipping.

$48.6M

ARR

PLAN $47.4M · +31% YOY ✓AHEAD AUDITED

118%

Net dollar retention

FLAT QOQ ✓ON PLAN

74%

Gross margin

+2PP QOQ ✓AHEAD

19 mo

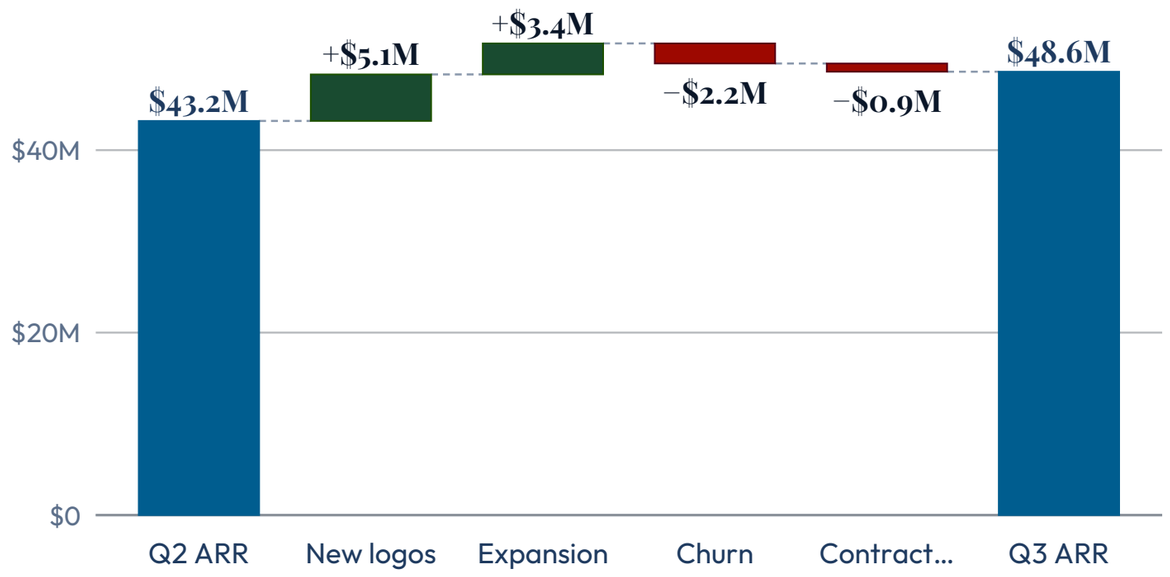
CAC payback

TARGET 14 MO · +4 MO QOQ

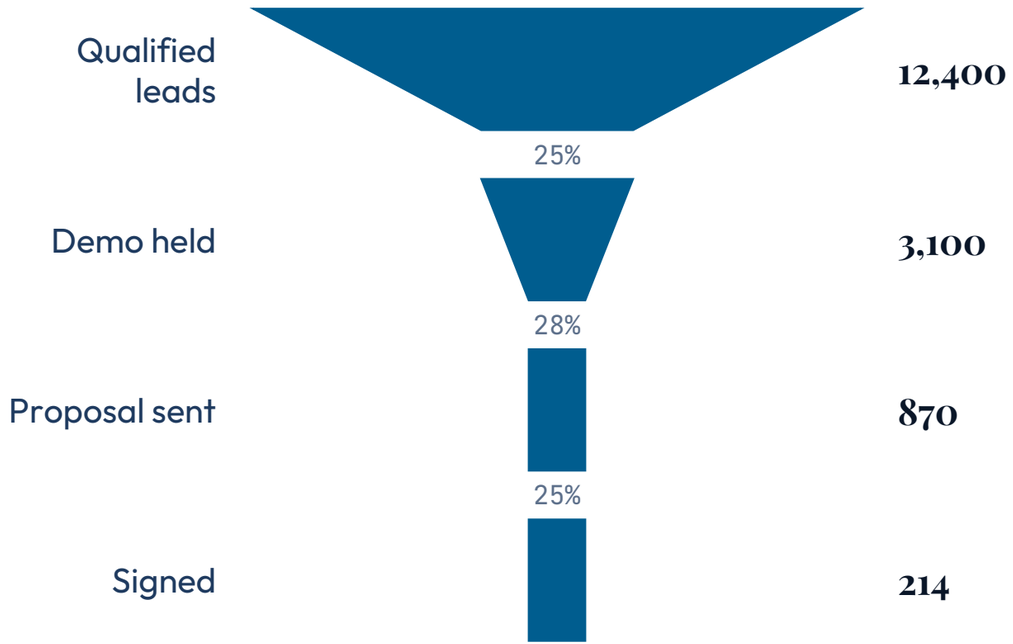
✓BEHIND

ARR bridge · Q2 to Q3

New logos carried the quarter; churn gave a third of it back.



SMB deals stall between the demo and the proposal.



Fixing SMB costs $2.1M; exiting frees nine sellers for mid-market.

FIX THE SEGMENT

A guided setup, a lighter tier and pooled support: about $2.1M next year for a 20-month payback.

EXIT THE SEGMENT

Move 640 accounts to a partner and nine sellers to mid-market, where payback is 17 months.

WHERE IT LEAKS

SMB pays back in 31 months.

Three findings from the cohort review.

split-panel · full-bleed, chrome on the 16:9 inset

Stalls before the proposal

Half of SMB deals stop between the demo and the proposal stage.

Onboarding assumes staff

Our onboarding needs an admin that most SMB accounts do not have.

Churn gives a third back

Churn returned a third of the new ARR the segment added this quarter.

How the exit would run.

STEP 01

Announce — November, with twelve months' notice to every SMB account.

STEP 02

Migrate — the certified partner onboards accounts from January to June.

STEP 03

Redeploy — nine sellers join mid-market on 1 December.

STEP 04

Report — churn impact at every board meeting until the last account moves.

We recommend exiting SMB by June 2027.

Decision requested · Q3 FY26

EXIT SMB

Payback back to 14 months by Q3 FY27; nine sellers move to the segment that converts.

WHY NOT FIX IT

$2.1M to reach a 20-month payback on a segment that brought in $0.5M of new ARR this quarter.

WHY NOT WAIT

Every quarter we wait adds roughly 60 accounts we would later have to migrate.

Vote requested · 14 October 2026

Approve the SMB exit plan.

Glossary

A – N

TERM	DEFINITION
ARR	Revenue the business can expect to recur every year.
CAC	Sales and marketing spend to win one new customer.
EBITDA	Operating profit before financing and accounting charges.
NDR	Last year's revenue kept and expanded, before new logos.